

another. Tax rates had been only about 3 percent when the English ran the colonies. Now the federal rate alone is more than 11 times as much. And for every injustice done to Americans by the English, there must be 100 Americans have done to themselves.

But revolutions happen.

Where should you be now? We don't know. But we suggest that you have a bolt-hole somewhere—a refuge, a getaway, a family stronghold.

Many things could go wrong. Earthquakes. Plagues. Volcanic eruptions. Wars. Bankruptcies. Hyperinflations. And—we wouldn't rule it out—invasions from space.

These events are hard to predict. Even something as obvious as the revolution in Egypt was unforeseen by almost everyone. We pay the CIA hundreds of billions to keep on top of things like this, but as one journal put it, sarcastically, CIA forecasts “kind of suck.”²

However, we take up for the CIA, just as we would stand up for any drunk or half-wit. The CIA's work is at least on par with the Securities and Exchange Commission or Amtrak. We have no doubt about it. It is at least as efficient as the post office. It is as necessary as the Transportation Security Administration. And it is as competent and effective as the Congressional Ethics Committee.

But we do not take up the pen to criticize America's intelligence agencies. Instead, we merely point out that bad stuff happens.

What kind of bad stuff? All kinds. Kinds you expect. And kinds you don't.

The problem with bad stuff is that it often comes as a counterfeit, pretending to be something it is not. A “peaceful revolution,” for example, can turn bloody mighty fast. And no one gives you advance notice.

Real trouble comes unannounced. If you knew that the dollar would collapse on June 3, for example, you could switch your money into euros. If the Irish prime minister called you on the phone and tipped you off—“Hey, we're going to default next Thursday”—you'd know what to do. You'd short the euro and make a bundle. Or if you intercepted a secret cable—“Nuclear Attack on Washington, D.C., 4 p.m., October 13”—you'd get out of town as soon as possible.

But black swans do not honk before they appear. They just appear.